	Equity share first call A/c (10,000 × 3)	Dr.		30,000	
	To Equity share capital A/c				30,000
	(First call amount due)				
	Bank A/c (9,700 × 3)	Dr.		29,100	
	To Equity share first call A/c				29,100
	(First call money received for 9,700 shares)				
	Equity share second and final call A/c (10,000 × 2)	Dr.		20,000	
	To Equity share capital A/c				20,000
	(Second and final call amount due)				
	Bank A/c (9,700 × 2)	Dr.		19,400	
	To Equity share second and final call A/c				19,400
	(Second and final call money received for 9,700 shares)				
	Equity share capital A/c (300 × 10)	Dr.		3,000	
	To Equity share first call A/c (300 × 3)				900
	To Equity share second and final call A/c (300 × 2)				600
	To Shares forfeited A/c				1,500
	(Forfeiture of 300 shares for non-payment first and second calls)				
	Bank A/c (200 × 9)	Dr.		1,800	
	Shares forfeited A/c	Dr.		200	
	To Equity share capital A/c				2,000
	(Re-issue of 200 forfeited shares)				
	Shares forfeited A/c	Dr.		800	
	To Capital reserve A/c				800
	(Profit on re-issue of 200 forfeited shares transferred to capital reserve account)				

Working note:

Amount forfeited for 300 shares = ₹ 1,500

Amount forfeited for 200 shares = $\frac{1,500}{300} \times 200$ = 1,000

Less: Loss on reissue	200
Net gain transferred to capital reserve	800

Illustration 18

Thangam Ltd. issued 50,000 equity shares of ₹ 10 each at a premium of ₹ 2 per share payable as follows:

On application	₹ 5
On allotment	₹ 5 (including premium)
On first and final call	₹ 2

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